Type MS · Taxes, subsidies and parks to protect the environment

Answer 1 of 19 · Question 2 part g · 9 marks

2021 JUN · Paper 02 · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **D** A decrease in exports and an increase in imports A is not correct because an appreciation would result in a decrease in exports and an increase in imports B is not correct because an appreciation would result in a decrease in exports and an increase in imports C is not correct because an appreciation would result in a decrease in exports and an increase in imports	**(1)**

Question Number	Which **one** of the following is likely to result in poverty? Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** Low GDP per capita A is not correct because this can result in people gaining jobs and therefore income C is not correct because economic agents would retain more of their income D is not correct because more people are in paid employment	**(1)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 1 of 19 · Question 2 part g · 9 marks

2021 JUN · Paper 02 · extract 2 of 6 · find part g in this mark scheme extract

Question Number	State **one** effect on the balance of payments of improved quality of foreign goods. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct effect • Higher imports • Worsened balance of payments • Lower exports • Increased deficit • Worsened surplus Accept any other appropriate response	**(1)**

Question Number	What is meant by the term free trade? Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to the import/export of goods and 1 mark for reference to not being taxed Goods/services coming into or going out of a country **(1)** which are not controlled/taxed **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** impact of rising unemployment on consumer confidence for a country such as Argentina. Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being context • One impact is that consumer confidence is likely to fall **(1)**. High rates of unemployment of 10.1% may make consumers more cautious **(1)**. This can cause lower levels of consumer spending **(1)** Accept any other appropriate response	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 1 of 19 · Question 2 part g · 9 marks

2021 JUN · Paper 02 · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Explain **one** reason why the reduced cost of communication has helped to increase globalisation. Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is the internet makes it cheaper to communicate with other overseas markets **(1)**. Many small firms are able to use e-commerce marketplaces such as Alibaba **(1)**. This allows firms of all sizes to sell to a wider geographical area/trade globally **(1)** • One reason is that you do not need face to face meetings **(1)**. The internet allows for communication via videoconferencing/online meetings **(1)**. These improvements in communication links mean it is easier for international businesses to interact **(1)** Accept any other appropriate response	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 1 of 19 · Question 2 part g · 9 marks

2021 JUN · Paper 02 · extract 4 of 6 · find part g in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the use of taxation to protect the environment in a country such as Germany. Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Taxation can be imposed on activities that damage the environment • Taxation is used to ensure consumers and producers pay the full social cost of producing a good or service • Increasing taxation from 7% to 19% would substantially increase the price of meat for consumers which may result in less demand for meat products • This would reduce the amount of greenhouse gas emissions caused by animals • Increased taxation could also raise additional revenue for the German Government • This could be used to finance other pollution reduction schemes or improve animal welfare • Taxation provides a market incentive for firms and consumers to switch to meat alternatives which may not cause as much environmental damage **AO4** • However, increasing taxes on meat may reduce incomes for farmers if demand falls for meat products • Increasing taxes on meat products may reduce the choice for consumers of what food they can afford, particularly low-income families • Demand for meat may be quite inelastic and an increase in tax may do little to reduce demand and therefore only marginally reduce the amount of pollution • There are other methods that might be more effective in protecting the environment, such as subsidies, fines or pollution permits • The German Government should use a combination of methods to protect the environment

Type MS · Taxes, subsidies and parks to protect the environment

Answer 1 of 19 · Question 2 part g · 9 marks

2021 JUN · Paper 02 · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 1 of 19 · Question 2 part g · 9 marks

2021 JUN · Paper 02 · extract 6 of 6 · find part g in this mark scheme extract

Question Number	What is the total amount of revenue raised by indirect taxes? Answer	Mark

Type MS · Taxes, subsidies and parks to protect the environment

Answer 2 of 19 · Question 2 part g · 9 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO2 1 mark** **C** $51 100	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** **C** Monetary	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct impact • Leakage from the economy • Problems finding foreign reserves to fund the deficit • Can be inflationary • Unemployment • Falling output/GDP Accept any other appropriate responses	**(1)**

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to household income and 1 mark for reference to basic needs. A condition where household income is below a necessary level **(1)** to provide the basic needs for survival **(1)**	**(2)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 2 of 19 · Question 2 part g · 9 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage of an appreciating currency Award 1 mark for developing the disadvantage Award 1 mark for the disadvantage being in context • A deterioration of the current account **(1).** A stronger value of the Thai baht leads to falling export sales **(1)** resulting in a larger trade deficit for Thailand's economy **(1)** • Reduced economic growth for the economy of Thailand **(1)** The price of exports should rise because of the stronger baht **(1)** This may result in a decrease in demand for goods/services **(1)** Accept any other appropriate response.	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 2 of 19 · Question 2 part g · 9 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible negative effect Award 1 mark for developing the possible negative effect Award 1 mark for the effect being in context • Pollution from business activity **(1).** Many firms create air and noise pollution from making goods **(1)** which can negatively affect local communities near to factories in China **(1)** • More waste from production and consumption of goods and services **(1).** Waste must be disposed of in landfill sites **(1).** This can cause a health hazard to Chinese residents near to areas of waste disposal **(1)** Accept any other appropriate response	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 2 of 19 · Question 2 part g · 9 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The report indicates that parks decrease health costs, through encouraging exercise and reducing air pollution • This reduces government expenditure on health care and improves the lives and productivity of the population • Parks and open spaces not only provide benefits to people but also protect wildlife and ecosystems within an urban area • Parks can be used for recreational purposes and a place for children to play which can reduce negative externalities for a government • Depending on their size, parks can bring in tourism revenue to local restaurants, hotels, snack shops, and stores • Parks can host festivals, concerts and athletics events, bringing additional boosts to the local economy **AO4** • However, there is an opportunity cost to the government in providing parks and open spaces • This area of land could be used for other purposes such as housing or for commercial development which may create jobs and increase output • There is a cost in creating and maintaining the park which must be funded by the government, as the park is free to use • The overall benefits will depend on how many people use the park and if there are alternative ways to protect the environment/reduce pollution such as pollution permits, regulation or fines	**(9)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 2 of 19 · Question 2 part g · 9 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 2 of 19 · Question 2 part g · 9 marks

2019 JUN · Paper 02 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Question Number	Answer	Mark

Type MS · Taxes, subsidies and parks to protect the environment

Answer 3 of 19 · Question 3 part c · 3 marks

2019 JUN · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

3(a)	**AO1 1 mark** **A** Trade in goods	**(1)**

Question Number	Answer	Mark
3(b)	**AO1 1 mark** **B** Dumping	**(1)**

Question Number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a method of government intervention. Award 1 mark for developing the method. Award 1 mark for the response being in context. • Use of taxation **(1)** A tax on polluting goods such as cars increases the cost to the consumer **(1)** There should be a reduction in car use and less pollution created **(1)** • Use of subsidies **(1)** The government could subsidise the manufacture of solar panels **(1)** This encourages consumers to switch to renewable energy reducing pollution from fossil fuels **(1)** Accept any other appropriate response.	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 3 of 19 · Question 3 part c · 3 marks

2019 JUN · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Unemployment represents a loss of output and therefore less GDP for a country • This could reduce standards of living for the population and increase poverty in the long run • The government will receive less tax revenue as there will be fewer workers in employment paying direct and indirect taxes • The government will have to pay out more in unemployment benefits to support the unemployed person whilst they are looking for a job • There is great pressure on the unemployed person as unemployment can cause social problems such as stress and health-related problems	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 3 of 19 · Question 3 part c · 3 marks

2019 JUN · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Inflation is the rate at which the general level of prices for goods and services is rising within an economy • This may make goods and services too expensive for many people and they cannot afford as much as they used to • The data shows the price of transportation and food has increased by 16.79% and 12.74%, which reduces the purchasing power of consumers if wages do not keep up with inflation • Shoe leather costs may increase as consumers must shop around to find the best deals on food and other products due to the high rates of inflation • Investment is likely to fall as firms lose confidence **AO4** • Inflation may not be a problem if wage increases keep up with inflation • Demand pull inflation may lead to a fall in unemployment as firms try to cope with rising demand • Although high rates of inflation are bad for an economy, low rates of inflation can also have disadvantages to an economy • Figure 3 shows the inflation rate fluctuates over the period of time and much will depend on future fluctuations	**(9)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 3 of 19 · Question 3 part c · 3 marks

2019 JUN · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 3 of 19 · Question 3 part c · 3 marks

2019 JUN · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Answer	Mark

Type MS · Taxes, subsidies and parks to protect the environment

Answer 4 of 19 · Question 2 part c · 1 mark

2020 JAN · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

Number		
2(a)	**AO2 1 mark** **B** Progressive	**(1)**

Question Number	**Answer**	Mark
2(b)	**AO1 1 mark** **D** Indirect taxes	**(1)**

Question Number	**Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct method. • taxation • subsidy • regulation • fines • pollution permits • government provision of parks Accept any other appropriate responses.	**(1)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 4 of 19 · Question 2 part c · 1 mark

2020 JAN · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to standard of living and 1 mark for reference to typical standards in society The standard of living is below **(1)** the typical living standards in that society **(1)**. **OR** In the EU it is 60% **(1)** of the median income **(1)** Accept any other appropriate responses.	**(2)**

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage using a fine Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is that this can raise a large amount of revenue **(1)**. The parking fines have raised £10.4m which could be used to improve public services **(1)** This can lead to increased economic growth in the Manchester area **(1)**. • One advantage is that it stops motorists parking illegally **(1)**. Having to pay a fine of £30 reduces the income of motorists **(1)**. This means that there might be an increase in the number of people using public transport rather than cars **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 4 of 19 · Question 2 part c · 1 mark

2020 JAN · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason Award 1 mark for developing the possible reason Award 1 mark for the response being in context • One reason is that not all income from earnings is declared/the hidden economy **(1)**. Some people under declare their earning from jobs such as taxi driving **(1)**. This reduces the amount of Greece's GDP which is accurately recorded **(1)**. • One reason is some countries record GDP differently **(1)**. Some activities such as subsistence farming in Greece may not be included in GDP figures **(1)**. Therefore, Greece's GDP figures may not be an accurate record of the total economic activity in an economy **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 4 of 19 · Question 2 part c · 1 mark

2020 JAN · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Seasonal workers are employed at particular times of the year when demand for labour is higher than usual • Seasonal employment is often associated with industries such as agriculture, tourism and construction • The New Zealand Government could use supply-side policies to try and encourage the recruitment of more seasonal workers into the kiwifruit industry • This can be done by offering financial incentives to firms for training and hiring the long term unemployed in the area to work on the kiwifruit farms • The New Zealand Government could ensure that there are lower income tax rates to encourage working rather than relying on welfare benefits • The New Zealand Government may offer financial incentives for the kiwifruit growers to invest in more capital intensive farming methods which remove the need for labour **AO4** • However, supply-side policies can take a very long time to be effective • Training and the hiring of new workers may take a long time and the industry needs 1,200 workers immediately to pick the remaining 70% of the crop • Many workers may prefer to remain unemployed due to the seasonal nature of the industry, preferring more stable employment • There is a financial cost to the government of offering any incentives to the kiwifruit industry which could be spent on other areas of the economy • It could be argued that the shortage of workers should be resolved by the kiwifruit industry rather than the government and the shortage could be due to poor wages or working conditions

Type MS · Taxes, subsidies and parks to protect the environment

Answer 4 of 19 · Question 2 part c · 1 mark

2020 JAN · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 4 of 19 · Question 2 part c · 1 mark

2020 JAN · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Taxes, subsidies and parks to protect the environment

Answer 5 of 19 · Question 2 part e · 2 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO2 1 mark** **D** Most efficient	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **C** Producer demand for labour to make goods	**(1)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 5 of 19 · Question 2 part e · 2 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark
2(c)	**AO2 2 marks** Award 1 mark for identifying the fixed costs 40 250 + 10 125 **(1)** Award 1 mark for calculating total fixed costs = 50 375 Rs **(1)** Award 2 marks if total fixed costs are correctly calculated as 50 375 Rs, even if no calculations are shown Award 1 mark if total fixed costs are correctly calculated as 50 375 even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to amount willing and able to be purchased and 1 mark for reference to price The quantity of goods/services consumers are willing and able to buy **(1)** at a given price **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the policy and 1 mark for development of the policy Taxation **(1)** to reduce the consumption of a demerit good that is over consumed **(1)** Accept any other appropriate response	**(2)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 5 of 19 · Question 2 part e · 2 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in the context Irrigation would help the crops to grow **(1)** meaning farmers could grow more crops using the existing resources available **(1)** increasing the output and leading to higher productivity **(1)** Accept any other appropriate response	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 5 of 19 · Question 2 part e · 2 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business aims may include maximising profit, caring for customers, completing charitable work or maximising revenue/sales • When they set up the café, Jo and Fiona aimed to help young people in their local area and so making a profit was not their priority • Because there have been complaints about the length of time it takes customers to receive orders, the number of customers may fall • This may mean the sisters are unable to employ as many waiters and waitresses and even go out of business if they do not change the focus of their aims • In addition, the use of more experienced employees may lead to improved productivity and therefore profit could increase • By now focusing on increasing sales or making a profit, Jo and Fiona may be able to increase the number of customers visiting Lanterns which could help it stay in business **AO4** • However, some customers may visit the café because they like the sisters' aim of helping young people in the local area • Therefore if these waiters and waitresses are replaced with experienced employees, Lanterns may lose these customers, meaning the café is unable to stay in business • More experienced employees may demand higher wages and therefore increased costs. As a result this may not lead to increased profits • It may be more important to focus on caring for customers by spending longer training the inexperienced staff • This means Jo and Fiona would still employ young people from the local area but would also be trying to solve the problem of orders taking too long

Type MS · Taxes, subsidies and parks to protect the environment

Answer 5 of 19 · Question 2 part e · 2 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 5 of 19 · Question 2 part e · 2 marks

2020 NOV · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark

Type MS · Taxes, subsidies and parks to protect the environment

Answer 6 of 19 · Question 4 part c · 12 marks

2020 NOV · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the fiscal deficit €8 119 601 – €8 197 243 **(1)** = -€77 642m **(1)** Award 2 marks if fiscal deficit is accurately calculated with no workings shown -€77 642m Award 1 mark if € sign is missing i.e. -77 642m Do not award marks for the formula	**(2)**

Question Number	Indicative content	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Fiscal policy is the use of government spending and taxation to affect macroeconomic objectives • An increase in taxation through either direct or indirect taxation may result in reduced spending for consumers and businesses in Estonian as there is less disposable income available • This reduced spending puts less pressure on prices and therefore can help to control inflationary pressures within the Estonian economy which increased to 4.4% in October • In addition, lower government spending within the Estonian economy may also have a downward effect on prices as government spending contributes to demand • Both measures may result in less demand-pull inflation within the Estonian economy	**(6)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 6 of 19 · Question 4 part c · 12 marks

2020 NOV · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 6 of 19 · Question 4 part c · 12 marks

2020 NOV · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Subsidies are given by a government to a producer to reduce the costs of production or to a consumer to reduce the price of consumption • The Estonian Government gives subsidies to public transport so that more people are able to use these services rather than cars • The Minister of Economic Affairs said that there has been an increase in 33% of people using the buses • Cheaper public transport has also reduced the number of cars and pollution in Estonia • The amount given to bus services has grown from €34.8m to €43.3m in 2019 which should encourage even more people to switch from cars to public transport reducing the environmental impact **AO4** • However, the Estonian Government will have to fund the public transport subsidies creating an opportunity cost • The money used to subsidise public transport could have been used elsewhere within the Estonian economy • Many people might argue that the Estonian Government should not be increasing the subsidy paid for air travel to €5.53m as this is a major cause of damage to the environment • There are other ways in which the government can protect the environment which may have less opportunity cost to the Estonian Government • Regulation through the use of laws and fines could be used to protect the environment which may have less of a financial burden upon the Estonian Government • Revenue from fines could be used to tackle some of the damaged caused by transport • The overall advantages will depend upon how much public transport contributes to environmental damage	**(12)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 6 of 19 · Question 4 part c · 12 marks

2020 NOV · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–4**	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	**5–8**	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	**9–12**	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 6 of 19 · Question 4 part c · 12 marks

2020 NOV · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

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Type MS · Taxes, subsidies and parks to protect the environment

Answer 6 of 19 · Question 4 part c · 12 marks

2020 NOV · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Type MS · Taxes, subsidies and parks to protect the environment

Answer 7 of 19 · Question 1 part g · 3 marks

2021 JUN · Paper 02 · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** Seasonal A is not correct because this is caused by changes in whole industries B is not correct because this is caused by falling demand as a result of a downturn in the economic cycle D is not correct because this is caused from people choosing not to work	**(1)**

Question Number	Which **one** of the following terms refers to a tax on imported goods? Answer	Mark
1(b)	**AO1 1 mark** The only correct answer is **B** Tariff A is not correct because this is money paid by a government to reduce costs and lower prices C is not correct because this is a financial penalty for firms that break laws D is not correct because this is a document that gives business the right to discharge a certain quantity of polluting material	**(1)**

Question Number	What is meant by the term recession? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to fall in GDP and 1 mark for reference to time period A fall in GDP **(1)** for two successive quarters **(1)**. Accept any other appropriate response	**(2)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 7 of 19 · Question 1 part g · 3 marks

2021 JUN · Paper 02 · extract 2 of 5 · find part g in this mark scheme extract

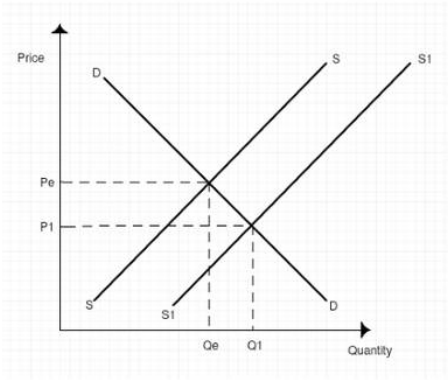
Question Number	What is meant by the term dumping? Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to exporting goods and 1 mark for reference to the price being below manufacturing costs A firm sells goods in another country **(1)** below the cost of production **(1).** Accept any other appropriate response	**(2)**

Question Number	Calculate **the fiscal surplus/deficit in Indian rupees crore (Rs)** for India in 2019–2020. You are advised to show your working. Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation 2 080 201 Rs – 2 784 200 Rs **(1)** Award 1 mark for the correct answer = –703 999 Rs **(1)** Award 2 marks for the correct answer of –703 999 Rs even if no calculations are shown. Award 1 mark if the answer given is –703 999 with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 7 of 19 · Question 1 part g · 3 marks

2021 JUN · Paper 02 · extract 3 of 5 · find part g in this mark scheme extract

Question Number	Using the diagram below, draw the likely effects of the introduction of a subsidy on the equilibrium price and quantity of new cars for families with three or more children. Label the new curve, the new equilibrium price and the new equilibrium quantity. Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question Number	Explain **one** benefit to the UK Government of providing parks. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that national parks can protect a large area of land **(1)**. The Lake District National Park has over 12% of woodland that is protected **(1)**. Restrictions are in place to stop business activities that could damage the environment **(1)** • One benefit is that national parks can be used for recreational purposes **(1)**. Over 19.17 million people visited the Lake District National Park in 2018 **(1)** increasing tourism for local firms **(1)** Accept any other appropriate response	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 7 of 19 · Question 1 part g · 3 marks

2021 JUN · Paper 02 · extract 4 of 5 · find part g in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the benefits of FDI for a country such as Ireland. Indicative content
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • FDI is the value of inward investment from other countries/firms into a country • FDI can bring in capital investment to Ireland as MNCs will need buildings, equipment and infrastructure to operate within the country • Jobs can be created by MNCs which reduces unemployment and increases disposable income in Ireland • There may be increased demand for the products or services of local Irish firms that supply MNCs • MNCs may train up the local workforce and MNCs often bring new technologies, techniques and methods • Increased employment and wages should lead to increased tax for the Irish Government • Exports may also increase therefore improving the balance of payments for Ireland

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity an organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 7 of 19 · Question 1 part g · 3 marks

2021 JUN · Paper 02 · extract 5 of 5 · find part g in this mark scheme extract

Question Number	An appreciation in a country's exchange rate is most likely to lead to which **one** of the following? Answer	Mark

Type MS · Taxes, subsidies and parks to protect the environment

Answer 8 of 19 · Question 3 part d · 6 marks

2021 NOV · Paper 02 · extract 1 of 5 · find part d in this mark scheme extract

3(a)	**AO2 1 mark** The only correct answer is: **B** £321.7bn A is not correct because it includes indirect tax C is not correct because it does not include business tax D is not correct because it does not include income tax	**(1)**

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **D** selling its own currency A is not correct because this will increase demand for its currency B is not correct because this will increase demand for your own currency C is not correct because this will cause it to appreciate	**(1)**

Question Number	**Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is an increase in exports **(1)**. Subsiding clothing by 4% can make exports more competitive **(1)**. This can result in greater export earnings and improve the current account **(1)** • One advantage is more domestic firms may enter the market **(1)**. Subsiding home appliances by up to 10% makes them more price competitive **(1)**. This can result in an increase in employment **(1)** Accept any other appropriate response	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 8 of 19 · Question 3 part d · 6 marks

2021 NOV · Paper 02 · extract 2 of 5 · find part d in this mark scheme extract

Question Number	**Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Taxation can be imposed on activities that damage the environment • Taxation is used to ensure consumers and producers pay the full social cost of producing a good or service • Increasing taxation on petrol and diesel fuel would substantially increase the price of fuel for road users which could reduce the amount of journeys taken by cars and other road vehicles • Increased taxation could also raise additional revenue for the UK Government • This could be used to finance pollution reduction schemes and improve air quality in the UK • Taxation provides a market incentive for firms and consumers to switch to alternative forms of transport that may not cause as much environmental damage

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 8 of 19 · Question 3 part d · 6 marks

2021 NOV · Paper 02 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	**Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • GDP is the market value of all final goods and services produced in a year • GDP is used to measure economic growth all over the world • This means that comparisons can be easily made between the growth rates of Ghana and different countries over time • Ghana has double the GDP growth rate compared to other emerging economies • GDP is also used as an indicator of a nation's overall standard of living because, generally, a nation's standard of living increases as GDP increases • Ghana was predicted to have a 8.8% GDP growth rate in 2019 and this could indicate an increase in living standards for the population **AO4** • However, using GDP to measure growth does have some limitations • Increases in inflation could distort the true rate of economic growth in Ghana and only real GDP figures reflect the true rate of economic growth in an economy • GDP does not include figures for the hidden or informal economy which are not included in GDP figures • GDP does not take into account external costs such as environmental costs and as a result GDP does not measure how these impact on the wellbeing of society • Ghana is becoming heavily reliant on oil which can have many associated external environmental costs • GDP figures do not reflect how additional income is distributed between the population of Ghana and much of the growth may not be evenly distributed amongst the population of Ghana who still may remain in poverty

Type MS · Taxes, subsidies and parks to protect the environment

Answer 8 of 19 · Question 3 part d · 6 marks

2021 NOV · Paper 02 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 8 of 19 · Question 3 part d · 6 marks

2021 NOV · Paper 02 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark

Type MS · Taxes, subsidies and parks to protect the environment

Answer 9 of 19 · Question 4 part c · 12 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing the calculation. $\frac{\$2715 - \$2590}{\$2590}$ x 100 **(1)** Award 1 mark for the correct answer. = 4.83% **(1)** Award 2 marks if the percentage change of 4.83% is accurately calculated with or without workings shown Award 1 mark if % is missing i.e. 4.83 with or without calculations shown Do not award marks for formula	**(2)**

Question Number	Analyse the impact of falling unemployment rates on tax revenues for a country such as Vietnam. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Unemployment is when those actively seeking work are unable to find a job • Figure 5 shows that unemployment has steadily fallen from a high of 2.3% in January 2017 to 2.15% in October 2019 • Higher rates of employment in Vietnam could result in higher tax revenue from taxing income from employment • Lower unemployment leads to higher spending which will increase revenue from indirect taxes • This could be used by the government in the economy to improve standards of living • This decline should increase tax revenues because most taxes are linked to income and spending	**(6)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 9 of 19 · Question 4 part c · 12 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 9 of 19 · Question 4 part c · 12 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Evaluate the effectiveness of increasing taxation on petrol and diesel to protect the environment in a country such as Vietnam. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Taxation can be imposed on activities that damage the environment • Taxation is used to ensure consumers and producers pay the full social cost of producing a good or service • Up to 60,000 people died from air pollution and it reduces GDP by 5% per year • Increasing taxation by 33% on fuel would substantially increase the price of petrol and diesel for consumers which may result in less demand for transportation • This would reduce the amount of air pollution caused by the 3.6 million automobiles and 58 million motorbikes • Increased taxation could also raise additional revenue of $650.2m for the Vietnamese Government • This could be used to finance other pollution reduction schemes or to improve public transport • Taxation provides a market incentive for firms and consumers to switch to transport alternatives such as public transport which may not cause as much environmental damage **AO4** • However, increasing taxes on fuel reduces the income available to spend on other goods and services • Many of these journeys may be essential for getting to work or for delivering goods • Therefore demand for petrol and diesel may be quite inelastic and an increase in tax may do little to reduce demand and therefore only marginally reduce the amount of air pollution • The 33% increase in taxation is likely to result in an increase in inflation • The public transport in Vietnam might be unable to cope with additional passengers • There are other methods that might be more effective in protecting the environment, such as subsidies, fines or pollution permits • Phasing out polluting vehicles could be encouraged by providing subsidies for removing old cars from the road or for the purchase of electric vehicles • The Vietnamese Government should use a combination of methods to protect the environment	**(12)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 9 of 19 · Question 4 part c · 12 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 9 of 19 · Question 4 part c · 12 marks

2022 JUN · Paper 02 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

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Type MS · Taxes, subsidies and parks to protect the environment

Answer 10 of 19 · Question 3 part c · 3 marks

2022 JUN · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **D** More firms allowed to enter a market A is not correct because this would mean more regulations to implement it B is not correct because this increases the amount of regulation C is not correct because regulations would be needed to oversee the issuing of licences	**(1)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 10 of 19 · Question 3 part c · 3 marks

2022 JUN · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **C** An increase in wage rates A is not correct because this would lower costs B is not correct because this is likely to increase supply of raw materials and therefore reduce cost-push inflation D is not correct because this likely to cause demand-pull inflation rather than cost-push inflation	**(1)**

Question Number	Explain one reason why the UK Government gives subsidies to firms in the renewable energy market. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to protect the environment **(1).** Subsidies encourage firms to provide energy from renewable sources such as solar energy **(1)** which reduces the pollution from fossil fuels **(1)** • One reason is to lower the cost of renewable energy **(1).** Subsidies allow renewable energy firms to lower prices **(1)** encouraging consumers to switch to cleaner energy sources **(1)** Accept any other appropriate response.	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 10 of 19 · Question 3 part c · 3 marks

2022 JUN · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Analyse the benefits of having a fiscal surplus for a country such as Nauru. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A fiscal surplus is when government tax receipts are greater than government spending • In this case, Nauru had a surplus of 16.1% of GDP in 2019 • The Government of Nauru could use the fiscal surplus in several ways • It could use the surplus to reduce taxes for the 10,824 population of the island • Alternatively, it could fund new education and training programmes or improve existing public services such as healthcare • If the Government of Nauru has any government debts, it has extra funds to repay them • This reduces the interest payable on any debt and helps the economy in the future	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 10 of 19 · Question 3 part c · 3 marks

2022 JUN · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Assess the effectiveness of pollution permits in protecting the environment for a country such as the US. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business activity can damage the environment as it has done in the US state of Colorado • Pollution permits are a market-based scheme aimed at reducing pollution and trying to encourage firms to reduce the quantity of pollution they create • Pollution permits involve giving firms such as power stations a legal right to pollute up to a certain amount • If a power station produces less pollution/waste it can sell its pollution permits to other power stations/firms • Permits create a financial incentive to pollute less because power stations can then sell their excess permits to other firms • It can be a good way to reduce pollution, using the incentives of the market **AO4** • However, in practice, pollution permits can be difficult to implement and it is difficult to know how many permits to give out to power stations/firms in Colorado • If the US Government is too generous in the level of pollution the permit allows, there will be little pollution reduction • If the US Government is too strict in the level of pollution the permit allows, power stations/firms may complain it adversely affects output because they cannot comply • There may be an incentive to cheat and hide the amount of pollution a firm creates. This could make the scheme ineffective • There are alternatives to pollution permits which may be more effective such as fining the power stations on the amount of waste produced • A combination of measures may be the most effective way to protect the environment	**(9)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 10 of 19 · Question 3 part c · 3 marks

2022 JUN · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 10 of 19 · Question 3 part c · 3 marks

2022 JUN · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Calculate, to two decimal places, the percentage of spending on all existing infrastructure projects that was spent on renewable energy on India in 2019. You are advised to show your working. **Answer**	Mark

Type MS · Taxes, subsidies and parks to protect the environment

Answer 11 of 19 · Question 2 part e · 2 marks

2023 JAN · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **D** Oligopoly A is not correct because it does not show employment levels B is not correct because this is a sector not a market C is not correct because there is more than one firm	**(1)**

Question number	An increase in which one of the following is most likely to increase productivity? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Irrigation A is not correct because this is likely to reduce productivity B is not correct because this increases time and costs D is not correct because this increases tasks for the firm to carry out	**(1)**

Question number	What is meant by the term barriers to entry? **Answer**	**Mark**
2(c)	**AO1 2 marks** Award 1 mark for reference to obstacles and 1 mark for reference to making it difficult for new firms to enter a market These are obstacles **(1)** that make it difficult for a new firm to enter a market **(1)** Accept any other appropriate response	**(2)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 11 of 19 · Question 2 part e · 2 marks

2023 JAN · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question number	Calculate the total costs per month for the firm. You are advised to show your working. **Answer**	**Mark**
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $57 000 + ($750 x 1820) **(1)** Award 1 mark for correct total costs = $1 422 000 **(1)** Award 2 marks if total costs per month are correctly calculated as $1 422 000, even if no calculations are shown Award 1 mark for 1 422 000, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Describe one disadvantage for a government of using subsidies. **Answer**	**Mark**
2(e)	**AO1 2 marks** Award 1 mark for reference to the disadvantage and 1 mark for development of the disadvantage • There may be an opportunity cost. **(1)** The money spent on the subsidy may be more effective if spent on other government projects **(1)** Accept any other appropriate response	**(2)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 11 of 19 · Question 2 part e · 2 marks

2023 JAN · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question number	Explain one reason why Heather may have decided to keep her business small. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • The size of the market. **(1)** There may already be a high number of restaurants in the area **(1)** meaning Heather does not want to try to compete with other restaurant chains **(1)** • Access to finance may be difficult for a small business **(1)** because banks/lenders may believe it is too much of a risk, **(1)** so Heather may not be able to afford to buy the new premises necessary to open another restaurant **(1)** Accept any other appropriate response	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 11 of 19 · Question 2 part e · 2 marks

2023 JAN · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the extent to which a merger between CK Hutch and Indosat is likely to lead to economies of scale. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Economies of scale occur when average costs decrease as a firm expands • A merger between CK Hutch and Indosat would lead to a new, larger telecommunications firm • Larger firms can usually operate at a lower unit cost than smaller firms due to the ability to make bulk purchases, combine marketing expenses and share technology • The new firm is likely to attract more customers, requiring a need to purchase more equipment. This could be done at a lower price per unit • Advertising of both CK Hutch and Indosat could be combined, reducing the advertising costs • As both firms would have used research and development departments, a merger would allow these to combine to reduce costs • This means economies of scale are likely to be enjoyed if the firms merge **AO4** • Economies of scale do not always occur or give the expected results • This expansion could result in pushing the merged firm beyond the minimum efficient scale, leading to diseconomies of scale • Diseconomies occur when average costs increase as a firm expands • Communication problems may occur due to the increased number of employees • There may be more bureaucracy due to the increased size of the firm • A larger gap between the management and the employees may occur due to the higher number of employees which could lead to reduced control • As Indosat's +60 million customer base is growing, this could result in further diseconomies of scale

Type MS · Taxes, subsidies and parks to protect the environment

Answer 11 of 19 · Question 2 part e · 2 marks

2023 JAN · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 11 of 19 · Question 2 part e · 2 marks

2023 JAN · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question number	Which one of the following could be described as an economic need? **Answer**	Mark

4(a)	**AO2 2 marks** Award 2 marks for calculating the percentage change in the fiscal deficit for Spain $\frac{-€87.43bn}{-€35.64bn}$ x 100 **(1)** = 245.31% **(1)** Award 2 marks if the percentage is accurately calculated as 245.31% even if no calculations are shown Award 1 mark if % is missing i.e. 245.31 with or without calculations shown No marks for formula	**(2)**

Question Number	With reference to the data in Figure 3 and your knowledge of economics, analyse the impact of a fiscal deficit for a country such as Spain. Indicative content	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A fiscal deficit is when government tax receipts are lower than government spending • In this case, Spain had a deficit of -€123.07bn in 2020 • A fiscal deficit requires the Spanish Government to spend more of its tax revenue on either paying the interest on the debt or using tax revenue to pay off the debt completely • This has an opportunity cost for the Spanish Government • The money spent on interest payments could be spent on public services such as education, healthcare and social provision • Persistent fiscal deficits result in future generations burdened with current debt • Fiscal deficits could result in an increase in taxation levels to help repay the debt or a reduction in spending on public services	**(6)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 12 of 19 · Question 4 part c · 12 marks

2023 JUN · Paper 02 · extract 2 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 12 of 19 · Question 4 part c · 12 marks

2023 JUN · Paper 02 · extract 3 of 4 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate how effective subsidies are in protecting the environment in a country such as Spain. Indicative content	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Subsidies are grants given by a government to a producer to reduce the costs of production or to a consumer to reduce the price of consumption • The Spanish Government is giving over €6.9bn in subsidies to renewable energy sources which currently accounts for 47% of energy produced in Spain • Renewable energy sources such as wind and solar help to reduce negative externalities caused by fossil fuels • Therefore, using subsidies is an effective way to protect the environment in Spain due to the amount of wind and sun the country receives • It is sensible to harness this for energy use rather than generating energy by fossil fuels • The subsidies will help create over 280,000 jobs in the manufacturer of wind and solar technology positively contributing to the Spanish economy • This should encourage the production of energy from renewable energy sources reducing the environmental impact **AO4** • However, the Spanish Government will have to fund the renewable energy subsidies creating an opportunity cost • The money used to subsidise renewable energy could have been used elsewhere within the Spanish economy • Spanish Government is already running a large budget deficit • Subsidies may cause inefficiency in the firms that produce energy equipment • It depends on the amount of the subsidies as over 50% of the country's energy needs are still from non-renewable sources • There are other ways in which the government can protect the environment which may have less opportunity cost to the Spanish Government • Regulation through the use of laws and fines could be used to protect the environment and the revenue used to tackle the environmental damage • The overall effectiveness will depend upon how much energy production from fossil fuels contributes to environmental damage in Spain	**(12)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 12 of 19 · Question 4 part c · 12 marks

2023 JUN · Paper 02 · extract 4 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 13 of 19 · Question 2 part g · 9 marks

2023 NOV · Paper 01 · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** 250 units A is not correct because labour productivity is measured in units B is not correct because this would be a multiplication instead of a division calculation and the wrong units are used D is not correct because this would be a multiplication instead of a division calculation	**(1)**

Question number	Which **one** of the following is a possible cause of positive economic growth? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **D** Increasing technological advancements A is not correct because this would reduce demand for goods and services, therefore reducing economic growth B is not correct because this would be more likely to reduce economic growth C is not correct because increasing unemployment would lead to fewer resources being utilised	**(1)**

Question number	What is meant by the term opportunity cost? **Answer**	**Mark**
2(c)	**AO1 2 marks** Award up to 2 marks for a correct definition The cost of the next best alternative **(1)** given up (when making a choice) **(1)** Accept any other appropriate response	**(2)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 13 of 19 · Question 2 part g · 9 marks

2023 NOV · Paper 01 · extract 2 of 6 · find part g in this mark scheme extract

Question number	Calculate the **total fixed costs** for the firm in March. You are advised to show your working. **Answer**	**Mark**
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 20 250 + 5 125 **(1)** Award 1 mark for calculating correct total fixed costs = 25 375 Tk **(1)** Award 2 marks if total fixed costs are correctly calculated as 25 375 Tk, even if no calculations are shown Award 1 mark if total fixed costs are calculated as 25 375, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Describe **one** reason why an entrepreneur is a factor of production. **Answer**	**Mark**
2(e)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason • An entrepreneur comes up with a business idea/takes a risk **(1)** therefore it is classed as enterprise **(1)** • An entrepreneur manages the other factors of production **(1)** in order to make goods/services **(1)** Accept any other appropriate response	**(2)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 13 of 19 · Question 2 part g · 9 marks

2023 NOV · Paper 01 · extract 3 of 6 · find part g in this mark scheme extract

Question number	Explain **one** advantage for firms of an increase in the retirement age. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the advantage being in context • Firms will be able to retain their skilled workers **(1)** because workers will not be able to access their pension until the age of at least 57 **(1)** reducing the cost of recruitment and training **(1)** • Supply of labour may increase **(1)** because people may need to continue working for another two years **(1)** thus reducing the price of labour/wage rate for firms Accept any other appropriate response	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 13 of 19 · Question 2 part g · 9 marks

2023 NOV · Paper 01 · extract 4 of 6 · find part g in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the likely effectiveness of the tourist tax in dealing with negative externalities, such as overcrowding. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Overcrowding in Venice may cause pollution, litter and congestion issues for residents and other visitors • One method of government intervention to reduce negative externalities is the use of taxation • A tourist tax is a compulsory financial charge made by the government on individuals • A tourist tax would make it more expensive to visit Venice • Therefore, it is likely to reduce the number of tourists in Venice from the estimated 24 million who visit each year • The higher the tourist tax, the fewer tourists there are likely to be, meaning at its highest charge of €10, the reduction should be greatest • As a result, the negative externality, such as overcrowding, may be reduced **AO4** • However, as Venice is so popular, some tourists may decide it is worth paying the tourist tax • This may especially be the case at the lower rates of tourist tax, where a tourist may not consider €3 unaffordable compared to the price of their trip • It takes time to collect the tourist tax, meaning there may be more congestion when people arrive in Venice • Even a reduction in numbers may not be enough to deal with the externalities caused by the high number of visitors each year • Those visitors who are prepared to pay the tourist tax will be generating revenue for the city which may be used to help combat the externalities in other ways • Other methods of government intervention may be more effective

Type MS · Taxes, subsidies and parks to protect the environment

Answer 13 of 19 · Question 2 part g · 9 marks

2023 NOV · Paper 01 · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 13 of 19 · Question 2 part g · 9 marks

2023 NOV · Paper 01 · extract 6 of 6 · find part g in this mark scheme extract

Question number	Which **one** of the following is a reason why a firm may decide to stay small? **Answer**	**Mark**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 14 of 19 · Question 3 part b · 1 mark

2023 NOV · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **B** £37.50 A is not correct because this is $75-£50 C is not correct because this is $50/£0.75 D is not correct because this is £0.75 x 100	**(1)**

Question Number	Which **one** of the following is a reason for this provision? **Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **C** To reduce damage to the environment A is not correct because parks increase the number of tourists B is not correct because parks increase property values in the area D is not correct because this increases the space for leisure and recreation	**(1)**

Question Number	Explain **one** reason why an increase in the price of imports may have had a positive impact on South Korea's current account. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is demand may have decreased for imports **(1)** as consumers switch to cheaper domestically produced goods rather than imports **(1).** This means less money is flowing out of the country resulting in a positive impact on the current account **(1)** Accept any other appropriate response	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 14 of 19 · Question 3 part b · 1 mark

2023 NOV · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse how monetary policy can help to reduce inflation in a country such as the US. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Monetary policy is the use of interest rates and money supply to control (aggregate) demand in the economy • Interest rates are the highest they have been for 15 years and are predicted to increase to 5.25% by the end of 2023 • Higher interest rates will increase the cost of borrowing • This will discourage investment and expenditure by firms and consumers in the US economy • There could be a greater incentive to save to take advantage of higher interest rates, therefore reducing consumer spending • This will lower overall aggregate demand and inflationary pressures in the US economy • Increased interest rates may boost the US currency's value, which may lead to lower import costs and consequently a decline in inflation	**(6)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 14 of 19 · Question 3 part b · 1 mark

2023 NOV · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 14 of 19 · Question 3 part b · 1 mark

2023 NOV · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits of low unemployment rates on tax revenues for a country such as Australia. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Unemployment rate is a measure of the percentage of the total labour force that is currently unemployed and actively seeking employment • Figure 4 shows that the rate of unemployment has steadily fallen from a high of 4.2% in January to 3.4% in November 2022 • If Australia's employment increases by 64,000, tax revenue from newly employed workers could increase • More indirect taxes such as VAT will be collected because additional people will be spending money in the economy • This could be used by the Australian Government in the economy to improve standards of living • Higher tax revenues will make it easier for the Australian Government to finance spending on other projects such as public services • The Australian Government has more flexibility to lower taxes elsewhere if more people are employed and tax revenue from income rises **AO4** • However, low unemployment might not result in higher tax revenue for the Australian Government • If many of the workers are employed in low-wage jobs, they may not contribute as much in tax revenue • If there is a significant informal economy or tax evasion, tax revenue might be lost • If tax rates are too low or there are too many tax exemptions, tax revenue may not increase as much as expected • The Australian economy could see an increase in cost-push inflation as firms compete for the same workers by offering higher wages due to labour /lack of immigration • Inflation could reduce tax revenues by reducing consumer spending • The overall impact will depend on how long unemployment remains low	**(9)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 14 of 19 · Question 3 part b · 1 mark

2023 NOV · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 14 of 19 · Question 3 part b · 1 mark

2023 NOV · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Calculate, to two decimal places, the **percentage** of people living in relative poverty in Kazakhstan in 2022. You are advised to show your working. **Answer**	Mark

Type MS · Taxes, subsidies and parks to protect the environment

Answer 15 of 19 · Question 1 part b · 1 mark

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **A** 0 B is not correct because this is price inelastic supply C is not correct because supply is unitary price elasticity D is not correct because this is price elastic supply	**(1)**

Question number	Which **one** of the following is the most likely type of government policy to produce this decrease in costs? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** Increased subsidy A is not correct because this would not lower total costs B is not correct because this would be more likely to increase total costs D is not correct because increased taxation would increase total costs	**(1)**

Question number	What is meant by the term private sector? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Firms owned by individuals or groups **(1)** that provide goods/ services **(1)** Accept any other appropriate response	**(2)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 15 of 19 · Question 1 part b · 1 mark

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question number	State **one** factor that may affect the supply of labour. **Answer**	**Mark**
1(d)	**AO1 1 mark** Award 1 mark for correct factor • Population • Migration • Retirement age • School-leaving age • Age distribution of population • Female participation • Skills and qualifications • Ability to move geographic locations • Ability to move to different types of employment Accept any other appropriate response	**(1)**

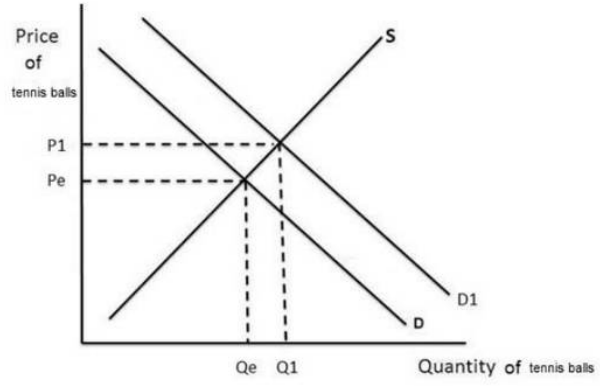
Question number	Define the term government. **Answer**	**Mark**
1(e)	**AO1 1 mark** Award 1 mark for a correct definition • A group with the authority to run a country/state Accept any other appropriate response	**(1)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 15 of 19 · Question 1 part b · 1 mark

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question number	Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 6.2% and quantity demanded increases by 1.7%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 1.7% ÷ 6.2% **(1)** Award 1 mark for correct income elasticity of demand (YED) = 0.27 **(1)** Award 2 marks if YED is correctly calculated as 0.27, even if no calculations are shown Do not award marks for the formula	**(2)**

Question number	Using the diagram below, draw the likely effects on the market for tennis balls after a fall in the price of tennis rackets. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of demand, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 15 of 19 · Question 1 part b · 1 mark

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question number	Explain **one** possible opportunity cost for the firm of this decision. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is the firm may not be able to buy new machinery **(1)** because it does not have enough money to buy both **(1)** so it has to sacrifice the new machinery when buying the delivery vehicle **(1)** Accept any other appropriate response	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 15 of 19 · Question 1 part b · 1 mark

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse a possible reason why Jags chose not to maximise profit. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • It is an economic assumption that firms will want to profit maximise • By offering a free lunch to children during the school holiday Jags will reduce the profit made by the café • Due to the rising cost of living, customers in the small town may be more likely to visit Jags' café to benefit from a free lunch • Therefore, having aims which prioritise caring for customers may be beneficial to the café's revenue as well • It is possible Jags will attract positive publicity for her café by offering the free meals and enhance her reputation

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 15 of 19 · Question 1 part b · 1 mark

2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question number	Which **one** of the following diagrams shows excess demand? **Answer**	**Mark**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 16 of 19 · Question 4 part c · 12 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the price in £ sterling $\frac{1600}{672}$ **(1)** = £2.38 **(1)** Award 2 marks if the park entry fee is accurately calculated as £2.38 even if no calculations are shown Award 1 mark if £ is missing i.e. 2.38 with or without calculations shown Do not award marks for the formula	**(2)**

Question Number	With reference to the data above and your knowledge of economics, analyse how the trade patterns may differ between a developed and a developing country. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Developed countries, such as the UK, tend to have more diversified economies with a higher share of manufacturing and services sectors in their GDP • This allows developed countries to produce a wide range of goods and services making them less dependent on a few primary products for their exports • Developed countries such as the UK have exhausted many raw materials and moved away from agriculture so need to import these commodities • In contrast, developing countries such as Costa Rica may have a narrower range of products to offer with a higher share of agricultural exports • Costa Rica relies heavily on agricultural exports such as fruit and vegetables accounting for 73.4% of exports to the UK • The patterns of trade are different for developed and developing economies due to the different sizes of the primary, secondary and tertiary sectors	**(6)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 16 of 19 · Question 4 part c · 12 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 16 of 19 · Question 4 part c · 12 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the possible advantages of the government providing national parks to protect the environment in a country such as Costa Rica. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Parks can provide a range of environmental benefits such as protecting and preserving biodiversity • Parks can contribute to long-term economic sustainability by protecting natural resources and ecosystem services • The conservation of natural resources through parks can also support other economic activities such as fishing and timber harvesting by ensuring the sustainability of these resources over the long term • The creation and maintenance of parks can generate economic benefits such as employment opportunities and revenue from tourism • The establishment of protected areas can help lessen the economic costs associated with environmental degradation • Parks and natural spaces can contribute to improvements in public health by providing opportunities for exercise and recreation which can reduce healthcare costs and absenteeism from work due to illness • Parks and protected areas can contribute to a sense of national identity and pride which can help to attract international visitors and promote trade and investment **AO4** • However, the costs of creating and maintaining parks can be high and may require significant public funding • The creation of parks may require the displacement of local communities or restrictions on traditional land use practices • Ecotourism can lead to overcrowding and environmental degradation if not properly managed • Protected areas can limit opportunities for economic development particularly in sectors such as mining, logging and agriculture • This can be a source of conflict between conservationists and those who see protected areas as a hindrance to economic growth • There are alternative methods which the Costa Rican Government could use such as taxation and pollution permits which might be more effective in protecting the environment	**(12)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 16 of 19 · Question 4 part c · 12 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 16 of 19 · Question 4 part c · 12 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

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Type MS · Taxes, subsidies and parks to protect the environment

Answer 17 of 19 · Question 3 part e · 9 marks

2025 JUN · Paper 01 · extract 1 of 7 · find part e in this mark scheme extract

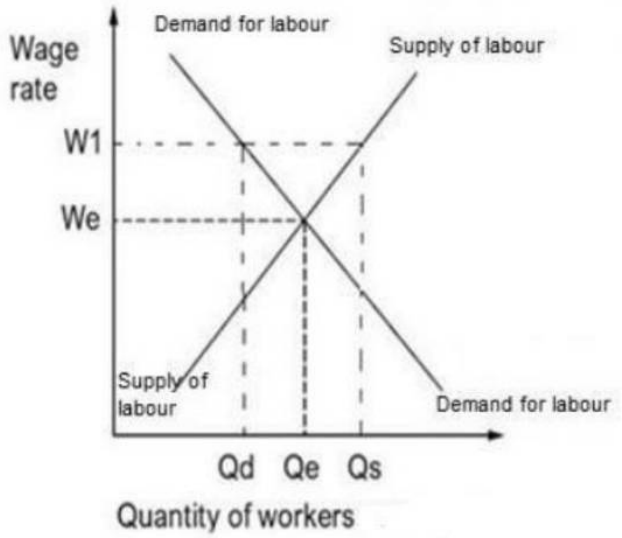
3(a)	**AO1 1 mark** The only correct answer is: **B** Enjoys the benefit of a good but does not pay for it A is not correct because a free rider does not pay for the good C is not correct because a free rider does neither of these D is not correct because a free rider does use the good	**(1)**

Question number	Which **one** of the following is an example of an occupation in the tertiary sector? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** Hotel receptionist A is not correct because this role is in the secondary sector B is not correct because this role is in the primary sector D is not correct because this role produces primary products	**(1)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 17 of 19 · Question 3 part e · 9 marks

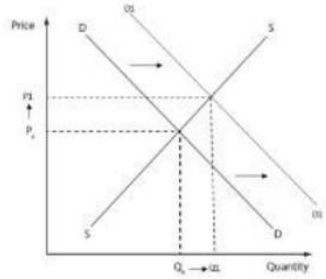
2025 JUN · Paper 01 · extract 2 of 7 · find part e in this mark scheme extract

Question number	Using the diagram below, draw the effect of a minimum wage (W_1) that has been set above the equilibrium wage (W_e). Label the new quantity of labour demanded and the new quantity of labour supplied. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing the new wage rate, labelled Award 1 mark for the new quantity of labour demanded, labelled Award 1 mark for the new quantity of labour supplied, labelled  	(3)

Type MS · Taxes, subsidies and parks to protect the environment

Answer 17 of 19 · Question 3 part e · 9 marks

2025 JUN · Paper 01 · extract 3 of 7 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how the demand curve for Tennis TV subscriptions might have been affected by Amazon Prime ending its streaming service. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A demand curve shows how much of a good will be purchased at different prices • An increase in the price of substitute goods is one of the factors likely to shift a demand curve to the right • Possible use of a diagram:  • The end of Amazon Prime's streaming service, means the only substitute is the higher priced service from Sky and it may encourage more customers to demand Tennis TV subscriptions instead, therefore increasing demand • The quantity of Tennis TV subscriptions demanded is likely to have increased (from Q_e to Q_1) as a result of the higher priced substitute because customers of tennis subscriptions are likely to want to maximise their benefit by receiving more for their money • Tennis TV may therefore have increased the price of its subscriptions (from P_e to P_1) as a result of the increase in demand

Type MS · Taxes, subsidies and parks to protect the environment

Answer 17 of 19 · Question 3 part e · 9 marks

2025 JUN · Paper 01 · extract 4 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 17 of 19 · Question 3 part e · 9 marks

2025 JUN · Paper 01 · extract 5 of 7 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the effectiveness of subsidies in dealing with externalities, such as road congestion. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Congestion is an example of a negative externality because it is created by high volumes of traffic and has an external cost, such as pollution, for the people of Sri Lanka • One method of government intervention to reduce negative externalities is to offer subsidies to producers of services, such as SLR providing rail travel • These subsidies will encourage the provision of cheaper and more comfortable rail travel, thus attracting passengers onto the trains and away from the busy roads • The Sri Lankan Government offers these subsidies in an attempt to reduce congestion and therefore reduce the negative externalities to the public in Sri Lanka **AO4** • However, there is no guarantee that the cheaper rail travel will attract people onto the trains, as the existing railway tracks need upgrading and the trains can be overcrowded • This means that rail travel may be uncomfortable, limiting the demand from passengers even with cheaper ticket prices • As SLR has made a loss of Rs 331bn over the last 10 years, the Sri Lankan Government may need to provide a larger subsidy to cover this loss, as well as paying for the upgrade of the rail service • Other policies may be more effective, such as taxation of vehicles on the road • There may be an opportunity cost of providing the subsidies, such as reduced revenue to cover education and/or health care

Type MS · Taxes, subsidies and parks to protect the environment

Answer 17 of 19 · Question 3 part e · 9 marks

2025 JUN · Paper 01 · extract 6 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 17 of 19 · Question 3 part e · 9 marks

2025 JUN · Paper 01 · extract 7 of 7 · find part e in this mark scheme extract

Question number	Calculate, to two decimal places, the **percentage change in profit** for the firm between 2021 and 2023. You are advised to show your working. **Answer**	Mark

Type MS · Taxes, subsidies and parks to protect the environment

Answer 18 of 19 · Question 2 part g · 9 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO1 1 marks** The only correct answer is: **C** increases with higher income levels A is not correct because this describes a flat tax system B is not correct because this describes a regressive tax system D is not correct because this does not happen in a progressive tax system	**(1)**

Question Number	A depreciation in a country's exchange rate is most likely to lead to **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **A** increase in exports and a decrease in imports B is not correct because a depreciation would result in an increase in exports and a decrease in imports C is not correct because a depreciation would result in an increase in exports and a decrease in imports D is not correct because a depreciation would result in an increase in exports and a decrease in imports	**(1)**

Question Number	State **one** possible trade-off with inflation. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible trade-off • Higher unemployment • Lower economic growth • Worsening current account on the balance of payments Accept any other appropriate response	**(1)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 18 of 19 · Question 2 part g · 9 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

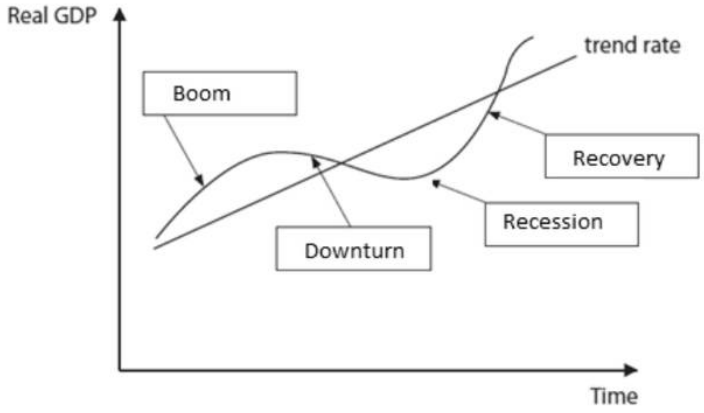
Question Number	What is meant by the term direct tax? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A tax levied/imposed on individuals/firms **(1)** based on the level of income/profits **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** disadvantage of privatising the provision of school meals in North Tyneside. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • One disadvantage is that school meals could become more expensive **(1)** this is because private firms aim to make a profit. **(1)** This can make it harder for some families to afford school meals for their children at school **(1)** • One disadvantage is that workers might be paid less. **(1)** Private firms often try to save money in order to make a profit. **(1)** This can negatively impact the quality of service/the well-being of existing employees **(1)** Accept any other appropriate response	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 18 of 19 · Question 2 part g · 9 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for Boom, labelled Award 1 mark for Downturn, labelled Award 1 mark for Recession/slump/depression, labelled  	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 18 of 19 · Question 2 part g · 9 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits to the environment of providing subsidies for solar-powered stoves in Rwanda. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • With subsidies making solar-powered stoves affordable, more people might change the way they cook • Shifting from firewood or coal to solar-powered stoves decreases carbon emissions, contributing to cleaner air and combating climate change • Solar-powered stoves produce no harmful smoke, leading to better indoor air quality and reducing respiratory illnesses linked to smoke inhalation from firewood or coal • Promoting solar-powered stoves encourages the use of renewable energy and reduces reliance on fossil fuels • Subsidies can make the transition to solar-powered stoves more economically feasible for families, reducing long-term costs associated with buying fuel **AO4** • However, the subsidies cost money, which could be used for other important things like schools or hospitals • If the subsidies end, the price of solar-powered stoves might increase reducing the number of people wanting to use them • Sometimes the people who need the help the most might not get it, or the subsidies might not support the best or most efficient stoves • Subsidies can interfere with normal market operations, potentially stopping firms from improving their stoves or reducing prices on their own • Some people might prefer their traditional way of cooking and not want to switch to solar-powered stoves, making the subsidies less effective • It can be hard to manage and keep track of the subsidy programme, leading to potential waste	**(9)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 18 of 19 · Question 2 part g · 9 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 18 of 19 · Question 2 part g · 9 marks

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Question Number	Which **one** of the following is a feature of being a member of a trading bloc? **Answer**	Mark

Type MS · Taxes, subsidies and parks to protect the environment

Answer 19 of 19 · Question 2 part e · 2 marks

2025 NOV · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** Most efficient A is not correct because this would be to the right of 'X' B is not correct because external economies of scale are not specifically shown on this diagram D is not correct because the diagram does not show profit	**(1)**

Question number	Which **one** of the following is the most likely cause of economic growth? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **B** An improvement in efficiency A is not correct because this may hinder economic growth C is not correct because this would reduce economic growth D is not correct because this would not lead to economic growth	**(1)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 19 of 19 · Question 2 part e · 2 marks

2025 NOV · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question number	Calculate, the **total revenue** for the shop in August. You are advised to show your working. **Answer**	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation (227 + 133 + 179 + 301) x $3.50 **(1)** **OR** 840 x $3.50 **(1)** Award 1 mark for calculating the correct total revenue = $2 940 **(1)** Award 2 marks if the total revenue is correctly calculated as $2 940, even if no calculations are shown Award 1 mark if the answer given is 2 940, with or without calculations shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term bureaucracy? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A system of administration **(1)** that uses a large number of departments/officials **(1)** Accept any other appropriate response	**(2)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 19 of 19 · Question 2 part e · 2 marks

2025 NOV · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

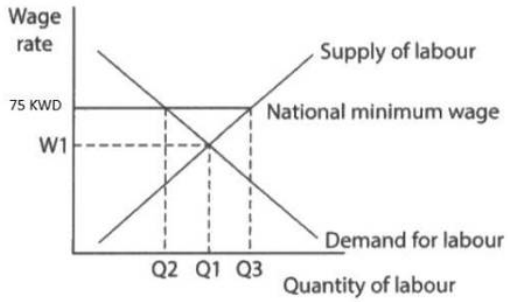
Question number	Describe **one** government policy to encourage positive externalities. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the policy and 1 mark for development of the policy Subsidies **(1)** to encourage the production/consumption of goods (that have external benefits) **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** way an improvement in drainage may affect the productivity of Indian farmers. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context Drainage would reduce flooded areas of land **(1)** meaning farmers could grow more crops on the newly available land **(1)** increasing the output/leading to higher productivity **(1)** Accept any other appropriate response	**(3)**

Type MS · Taxes, subsidies and parks to protect the environment

Answer 19 of 19 · Question 2 part e · 2 marks

2025 NOV · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the likely effect of having a minimum wage on the demand for labour in Kuwait. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Having a minimum wage means a higher income is received by people who may have struggled with basic needs than if the national minimum wage was not in place • A minimum wage may affect the demand for labour because firms may need to pay their workers more in exchange for the work carried out • Therefore, it could increase the costs of the firms and consequently, may reduce profit • Possible use of a diagram:  • As the wage rate increased from W1 to the minimum wage (75 KWD) it means that fewer workers may be employed by the firms, so the quantity of labour demanded may decrease from Q1 to Q2 **AO4** • However, some firms may already have been paying its workers above 75 KWD per month • Therefore, the legislation would not cause a change in the costs of those firms and consequently it may not affect their profits • This may mean that the demand for labour is unchanged • Despite this, the introduction of a minimum wage may put pressure on firms to maintain a higher wage rate to retain workers, meaning demand for labour may still decrease • It may depend on the number of firms paying at or above the minimum wage before its introduction

Type MS · Taxes, subsidies and parks to protect the environment

Answer 19 of 19 · Question 2 part e · 2 marks

2025 NOV · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Taxes, subsidies and parks to protect the environment

Answer 19 of 19 · Question 2 part e · 2 marks

2025 NOV · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question number	Which **one** of the following may be a reason why a firm stays small? **Answer**	**Mark**